

World in Brief: Trump claims “total control” of Hormuz; KOSPI goes on a bull run



Photograph: Getty Images

Hopes that the **Strait of Hormuz** would soon open dimmed further. Donald Trump insisted America has “total control” of the waterway, but Iran claims it will remain [shut](#) until America accepts its conditions for ending the war, including the easing of economic sanctions and ending the American blockade of Iranian ports. Pakistan, which has been mediating, said it remains “optimistic” about reaching an agreement.

Increases in the share price of Samsung Electronics and SK Hynix, two South Korean semiconductor firms, helped push the country’s **KOSPI** index up 4% in early trading. It has rebounded by more than 20% since a [low](#) on July 30th, thus entering a “bull market”. Tech companies’ recent commitments to spend big on AI have helped the bottom line of hardware producers such as Samsung and SK.

America’s annual inflation slowed from 3.5% in June to 3.4% in July, in line with analysts’ expectations. Core inflation, which excludes food and energy prices, slid from 2.6% to 2.5%. [Federal Reserve](#) officials have considered voting to raise interest rates in response to inflationary pressures. Yesterday’s data have lowered expectations that they will.

Russian state media reported that President Vladimir Putin visited the **Kuril islands** for the first time. The Soviet Union seized the islands from Japan at the end of the second world war. Russia controls them, but Japan has never abandoned its claim. The Japanese foreign minister posted on X that his government “strongly protests” against the visit to what is “inherently Japanese territory”.

The Intercept, a news site, and the Freedom of the Press Foundation, an advocacy group, sued **Mr Trump** over a plan to sell early access to his market-moving **social-media posts** for up to \$100,000 a month. They called the scheme “profoundly corrupt”. The White House has denied that the arrangement poses a conflict of interest.

Bob Iger, a former boss of Disney, and Joshua Kushner, the brother of Mr Trump’s son-in-law, will buy the **Los Angeles Lakers** for \$12.5bn. The basketball team was [bought only a year ago](#) by Mark Walter, a financier who also part-owns Chelsea football club. The deal would be the largest ever for a sports team.

Foxconn, a Taiwanese [electronics manufacturer](#), reported second-quarter profits of NT\$60bn (\$1.86bn), a 35% rise on the same period last year. The company said it expected strong AI demand to continue to drive growth throughout 2026. Cloud-computing infrastructure and networking gear, which include AI servers, accounted for more than half of Foxconn’s second-quarter revenue for the first time.

Figure of the day: 27%, the rise in omelette sales at eateries close to the venues of Taylor Swift concerts in Miami in 2024. Read how data analysis, AI and robots are [transforming the restaurant business](#).

Britain's oddest by-election

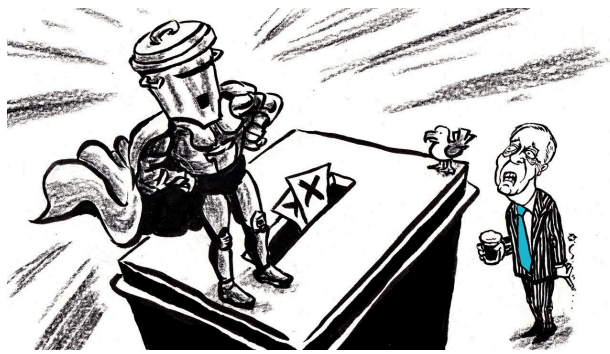


Illustration: David Simonds

On Thursday Nigel Farage, the leader of Reform UK, a populist-right party, will seek to be re-elected as the MP for Clacton in an election only taking place because he resigned that same seat in July. He claimed that the best way to resolve persistent questions about the source of some of his income was for voters in the Essex town to decide whether he should continue to serve in Parliament.

Mr Farage is almost certain to win, but that won't provide a ringing endorsement. All the other main parties are sitting out the by-election, which they say is a farce. It is. Of the 33 other candidates (a record for a British by-election), the main challenger seems to be [Count Binface](#), the alter-ego of a comedian; an opinion poll suggests he could pick up 20% of the vote. A hefty victory will not solve Reform's broader problems, either. It has fallen behind the ruling Labour Party in polls and investigations into its financing will continue.

Maersk weathers the storm



Photograph: Getty Images

Early in the year A.P. Moller-Maersk spied trouble ahead. An industry-wide ordering spree of new vessels in recent years, the Danish container-shipping giant warned, would drive shipping rates down through overcapacity. Yet merrily Maersk sails along. The firm reported strong second-quarter results on Thursday, with a 20% year-on-year increase in revenue, to \$15.8bn. It upgraded its guidance for a second time this year: it had hoped for \$2bn-4bn in operating profit, now it expects \$4.5bn-6.5bn.

That is because, so far, [geopolitical disruptions](#) have been good for Maersk. The threat of new rounds of American tariffs, including those which kicked in in July, boosted demand for shipping in the quarter as American companies rushed to stock up on goods. In time, however, if the shipping route through the Red Sea reopens, overcapacity may start to weigh on rates. And persistent inflation could dampen the consumer demand that keeps the industry afloat. It won't be plain sailing forever.

Zambia's regressing reformer



Photograph: Getty Images

The victory of Hakainde Hichilema in Zambia's presidential election in 2021 was meant to be the moment the country turned a corner. The previous government had defaulted on its debts, allowed inflation to soar and let thuggish party cadres shake down traders at city markets.

Five years on in copper-rich Zambia, and [its economy](#) is back on track, boosted by record copper prices. New policies such as free education are popular. No wonder Mr Hichilema is the favourite to win a second term in Thursday's election. But anxieties about the cost of living persist, and have energised the campaign of Brian Mundubile, his main challenger. Nearly two-thirds of Zambians live on less than \$2.15 a day. Meanwhile the president's democratic credentials have been damaged: cyber-crime laws have muzzled critics, and some opposition parties have been prevented from fielding candidates. Mr Hichilema was once imprisoned on trumped up charges for standing up to overweening power. Now he is the one who wields it.



Growing riches

Copper, \$'000 per metric tonne



Source: Bloomberg

A new boss for Hugo Boss?



Photograph: Reuters

Shareholders of [Hugo Boss](#), Germany's biggest luxury fashion firm, must decide whether to accept a takeover offer from Mike Ashley, a bolshy British retail tycoon, on Thursday. In June Mr Ashley put forward a €2bn (\$2.3bn) cash bid for the 74% of Hugo Boss's shares he did not already own. The board deemed it too low, and recommended that shareholders not accept his offer of €38 a share.

When Daniel Grieder, the company's boss, assumed his post in 2021, he took a belt-and-braces approach, adding modern, trend-driven collections alongside the firm's more traditional tailoring. Sales almost doubled within four years. But that momentum has stopped: sales fell to €905m in the second-quarter of 2026, 9% lower than a year earlier; operating profits dropped by 14%. [Mr Ashley spies a deal](#). By the end of July his company, Frasers Group, owned 37.5% of Hugo Boss. It may soon be another label in his wardrobe of brands.

Wagner's mighty saga



Photograph: Marc Brenner/Grange Park Opera

Thursday is the 150th anniversary of the first full performance of the “Ring” cycle by Richard Wagner, among the most ambitious works of theatre ever created. It took place at an opera house he had built for the purpose, in Bayreuth, Germany. Wagner not only wrote the music for the [15-hour-long series](#) of four “music dramas” but the words. The story, based on Germanic and Scandinavian legends, tells of the theft of a ring that gives its wearer world-ruling power and of a curse laid upon it, which leads to the destruction of the gods.

People who haven’t experienced the “Ring” have felt its influence. It was an inspiration for “The Lord of the Rings”, and everyone has heard “The Ride of the Valkyries”. Reaching back to a mythic past and pointing towards an unknowable future, the “Ring” illuminates the human condition and the contemporary one. But stagings that comment on the present don’t always work. Bayreuth’s anniversary production uses artificial intelligence as an “image-generating force”. Audiences have booed.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Which civil rights leader was baptised with the name of Michael, only to have his name changed by his father at the age of five?

Wednesday: Who directed the first two Harry Potter films?

To make the public sentiment, on the side of all that is just and true and noble, is the highest use of life.

Lucy Stone